



Case Study on Hahn & Company's Exit of SK Shipping

October 4, 2024



FCRC Fall 2024, Team Babylon
Junyong Jang

Table of Contents

I. Industry Overview

1. Shipping Industry Snapshot
2. Shipping Industry Trend

II. Company Overview

1. Company Snapshot
2. Business Overview
3. Overview of Hahn & Co.'s Exit Scenario of SK Shipping

III. Investment Highlights

1. Significant growth in time charter rate for VLCC tanker
2. Strong Presence and Expansion in Long-term Contract
3. Highly Diversified and Balanced Business Portfolio

I. Industry Overview

1. Shipping Industry Snapshot
2. Shipping Industry Trend

Shipping Industry Snapshot

The shipping industry is divided into four main types—containerships, dry bulk carriers, oil tanks, and gas carriers—each handling different cargo and having unique contract characteristics

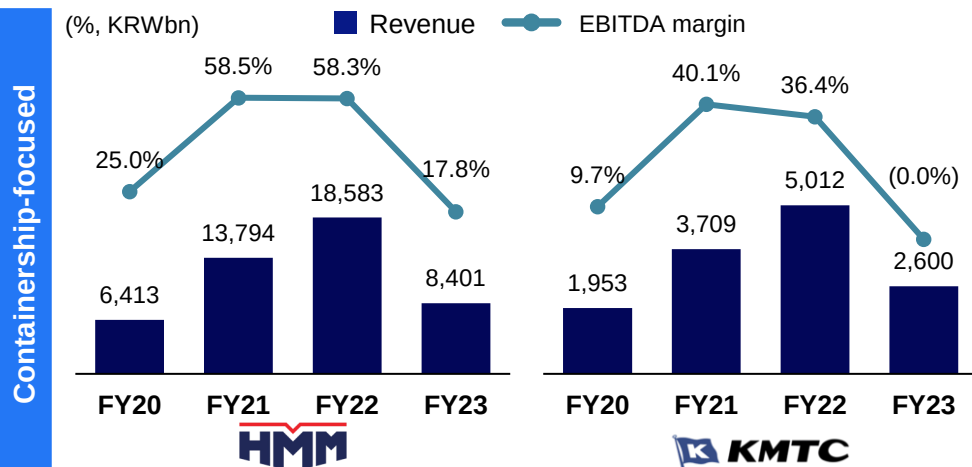
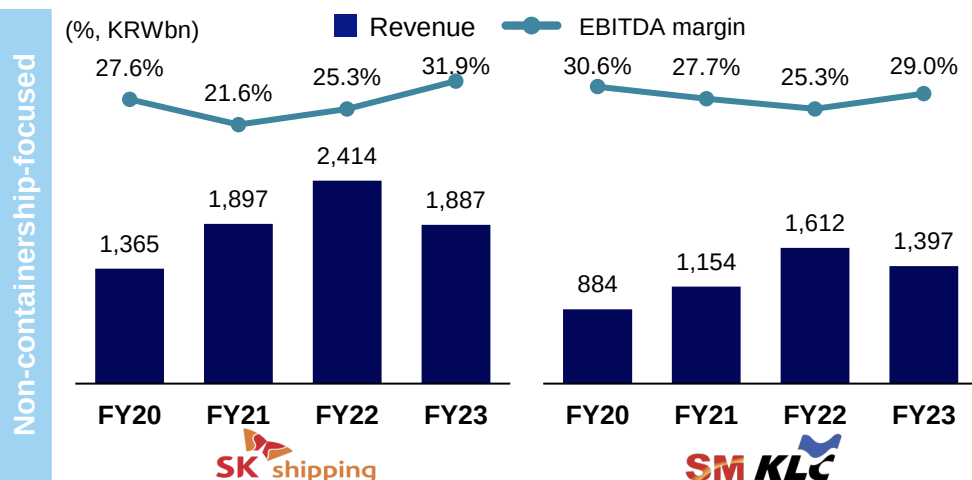
Shipping industry breakdown

The type of ship	 Containership Transporting container cargo, such as textiles, electronics, and tires	 Dry bulk carrier Bulk transportation of unpackaged cargo like grain, minerals, and coal	 Oil tanker Transporting large quantities of liquid cargo, such as oil and crude	 Gas carrier Mass transportation of liquid cargo, such as LNG and LPG
Contract	Liner shipping	SPOT/Long-term contract	SPOT/Long-term contract	SPOT/Long-term contract
Domestic player				
Index	SCFI, CCFI	BDI	WS, VLCC	VLGC

Shipping Industry Trend

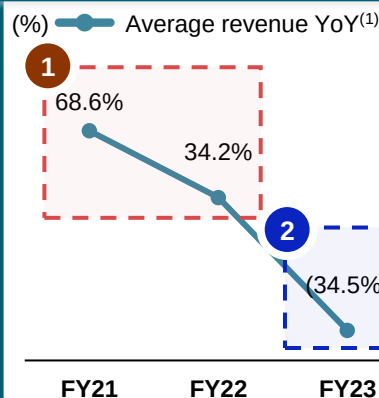
A shipping company's revenue depends on macro factors, and EBITDA volatility is primarily determined by the proportion of long-term contract in total contract

Revenue and EBITDA margin trend



Key takeaways

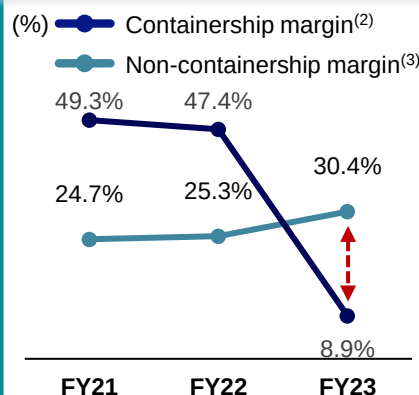
1 Dependence on macro factors



- Due to shipping supply shortage and economic boom
- Global economy shrinks

Revenue has been driven by macro factors

2 Earnings volatility



- Non-containership-focused company has a high portion of long-term contract compared to containership-focused-company
- It leads to differences of earnings volatility

The volatility of earning depends on the type of contract

II. Company Overview

1. Company Snapshot
2. Business Overview
3. Overview of Hahn & Co.'s Exit Scenario of SK Shipping

Company Snapshot

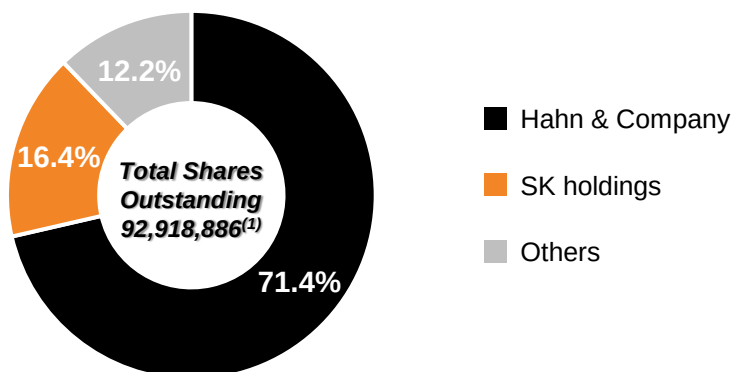
SK Shipping is a comprehensive marine transportation company, operating in the dry bulk carrier, oil tanker, gas carrier, and bunkering segments with the largest capacity of tankers and gas carriers in Korea

Company profile

- Established in 1982, SK Shipping is a comprehensive maritime logistics company with a diversified business structure
- SK Shipping's business is divided into dry bulk carrier, oil tanker, gas carrier, and bunkering, making it a diversified shipping company in Korea
- SK Shipping also owns the largest capacity in Korea, with 20 VLCC tankers and gas carriers
- In 2018, Hahn & Company acquired a 71.4% stake in SK Shipping for KRW1,500billion, and is currently the largest shareholder
- SK Shipping has long-term contracts with SK affiliates such as SK E&S, SK Gas, and SK Energy, as well as with Korea Gas Corporation and Korea Electric Power Corporation, ensuring stable revenue generation

Shareholding structure

(%)

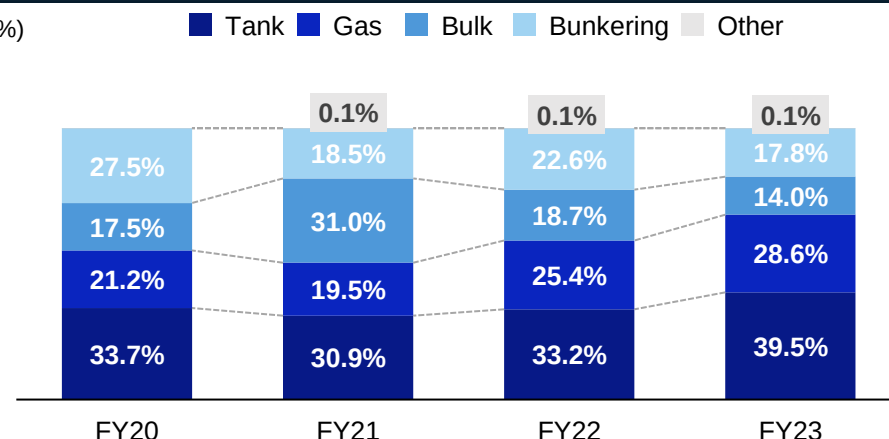


Key financials

(KRWbn)	FY19	FY20	FY21	FY22	FY23
Revenue	1,680	1,365	1,897	2,414	1,887
% Growth	2.7%	(18.8%)	39.0%	27.2%	(21.9%)
EBIT	164	218	208	372	367
% Margin	9.8%	16.0%	11.0%	15.4%	19.5%
EBITDA	306	377	410	611	603
% Margin	18.2%	27.6%	21.6%	25.3%	31.9%
Net Income	(88)	17	51	52	135
% Margin	(5.2%)	1.3%	2.7%	2.1%	7.1%
Total Assets	4,877	5,198	6,368	7,230	7,029
Equity	725	653	792	1,134	1,222
Net Debt	3,794	4,148	4,879	5,503	5,154

Revenue breakdown

(%)



Business Overview

SK Shipping's business can be divided into dry bulk carrier, oil tanker, gas carrier, and bunkering segments, with a high long-term contract ratio of 75.0% and an impressive 4Y EBITDA CAGR of 12.5%

Detailed business overview⁽¹⁾



Source: DART, KIS, Market intelligence, Company filings

Notes: (1) All number as of FY23 unless otherwise denoted; (2) As of Sep 13, 2024

Overview of Hahn & Co.'s Exit Scenario of SK Shipping

In 2018, Hahn & Company acquired a 71.4% stake in SK Shipping for KRW1,500bn and could potentially sell it to a buyer with relevant experience in shipping industry

Deal overview

Deal background

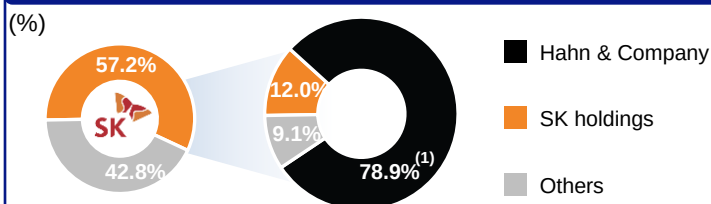


Hahn & Company

- Need to improve the financial structure due to the downturn in the shipping industry
- Response to FTC regulations on internal transaction
- Experience in investing in the shipping industry
- Close relationship with SK through a few deals

*KRW1,000bn in paid-in capital, 500bn in CB
Total KRW1,500bn*

Deal structure



Equity value ⁽²⁾	KRW1,900bn
BV of equity ⁽³⁾	KRW1,175bn
PBR	1.6x
Multiple rationale	• The number of ships owned or leased affects earnings greatly • Mature industry

Potential buyer

HMM

- 1 Business diversification**
 - Due to their portfolio where **83.9% of revenue** comes from **containership**⁽⁴⁾
- 2 Sufficient cash**
 - Having **KRW1,559bn**⁽⁴⁾ enough to acquire SK shipping

“Vertical M&A to diversify their business portfolio”

Harim holdings

- 1 Economies of scale**
 - For **horizontal M&A** to make economies of scale
- 2 Sufficient cash**
 - Having **KRW1,428bn**⁽⁴⁾ enough to acquire SK shipping

“Horizontal M&A to make their competitiveness more firm”

JKL partners

“Great success possibility by prior transaction in same industry”

- 1 Prestigious private equity**
 - Top tier private equity in Korea with **AUM of KRW2,317bn**⁽⁵⁾
- 2 Prior experience**
 - **Prior exit experience** of Panocean which is SK shipping competitor

IMM holdings

“Bolt-on strategy through acquiring SK Shipping to success”

- 1 Prestigious private equity**
 - Top tier private equity in Korea with **AUM of USD8bn**⁽⁵⁾
- 2 Bolt-on strategy**
 - **HYUNDAI LNG Shipping** in their portfolio



III. Investment Highlights

1. Significant Growth in Time Charter Rate for VLCC Tanker
2. Strong Presence and Expansion in Long-term Contract
3. Highly Diversified and Balanced Business Portfolio

Significant Growth in Time Charter Rate for VLCC Tanker

The increase in time charter rates is driven by extended shipping routes and a shortage of shipping supply, and is expected to continue increasing in the future

Demand factor

Extended shipping routes

- Shipping routes have been extended since the Russia-Ukraine war

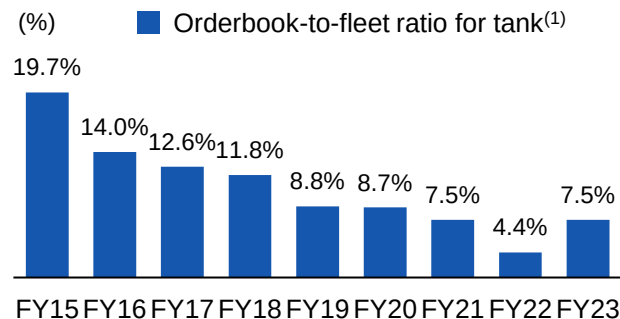
Expectation of easing oil production cuts

- There are expectations that OPEC+ may slightly ease its oil production cuts by the end of this year

Supply factor

Shortage of shipping supply

- In the context of carbon neutrality, concerns over declined demand led to cautious new investment
- The shipping market downturn since 2020 has resulted in a reluctance of new ship orders



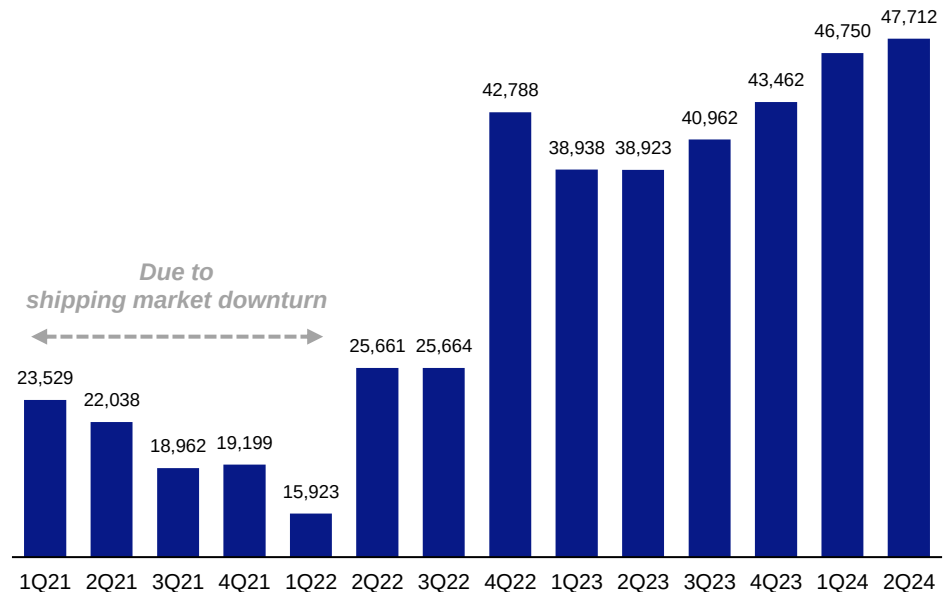
Increase of time charter rate for VLCC tanker

24.3% CAGR (1Q21-2Q24)

1 Year time charter rate 310,000 tanker

■ Quarterly average of time charter rate for VLCC tanker (USD)

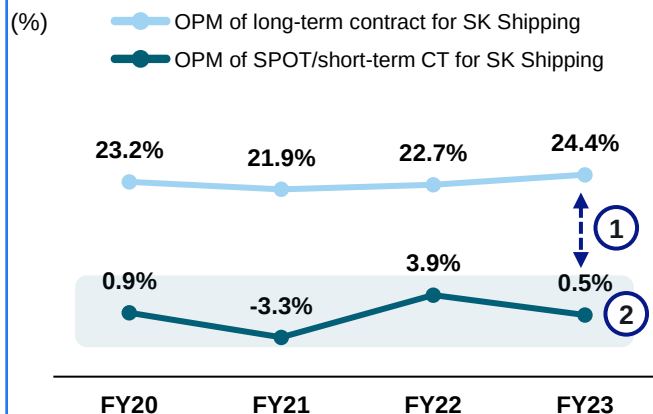
Result of an interaction between demand and supply factors



Strong Presence and Expansion in Long-term Contract

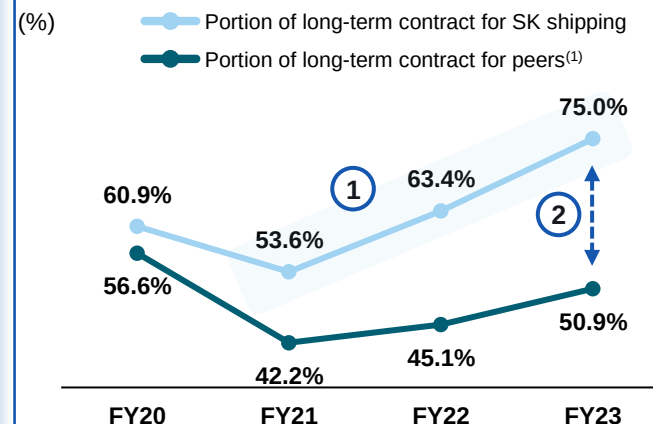
SK Shipping's portion of long-term contracts, which provides higher margins and greater stability compared to short-term contracts, is higher than its peers and has increased over time

The importance of long-term contract



Long-term contract has a higher stability and profitability

Competitiveness of long-term contract



SK shipping has a competitiveness of long-term contract

Highly Diversified and Balanced Business Portfolio

SK Shipping's revenue is the most diversified among domestic shipping companies, across three segments: dry bulk carrier, oil tanker, and gas carrier, ensuring stable future cash flow

SK Shipping is the most diversified company in the domestic shipping industry

Company	Revenue ⁽¹⁾ (KRWbn)	Containership	Bulk	Tank	Gas	Diversified
	8,401	82.9%	14.8%	-	-	✗
	4,361	8.4%	71.4%	7.9%	1.9%	✗
	1,887	-	14.0%	39.5%	28.6%	✓
	1,397	-	43.6%	9.8%	25.5%	▲
	1,237	-	98.1%	1.9%	-	✗
	473	-	-	9.9%	89.8%	✗



FCRC Fall 2024

Team Babylon